

Federal inventory of fossil fuel subsidies

2026 - SUMMARY



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We thank Samantha Haulotte for her high-quality contributions to all the previous editions of this report and wish her all the best for the future.

1 Background

Global support for fossil fuels remains substantial, despite the long-term climate neutrality goals of most major countries and the growing demand for renewable energy deployment and energy efficiency measures. In 2024, the OECD¹ estimated the fiscal cost of public support for fossil fuels to be USD 920 billion. Despite this decline from the record year of 2022, this means that government support for fossil fuels remains significantly higher than in the past decade.

The 2021-2022 energy crisis provided an opportunity for the rapid implementation of support measures, most of them temporary, aimed at containing rising energy prices, including those for fossil fuels. As a result, the crisis did not have a positive effect on reducing fossil fuel subsidies and, in 2025, the European Environment Agency observed that most Member States do not have a concrete plan to significantly reduce existing subsidies². Yet the energy crisis—or rather the succession of energy crises—clearly highlights the need to reduce energy dependence on imported energy, which the European Commission considers a critical strategic risk³. Accelerating the transition to renewable energy sources is therefore a necessity. Encouraging behaviours and policies aimed at reducing fossil fuel consumption is certainly one way of drawing lessons from the energy crises.

Developments at various levels nevertheless indicate an willingness to gradually phase out support for fossil fuels. At the international level, Belgium is part of the Coalition on Phasing Out Fossil Fuel Incentives Including Subsidies (COFFIS)⁴, which aims to (1) increase transparency based on a comprehensive methodology, (2) assess existing international agreements that constitute obstacles to reform, and (3) develop national strategies for phasing out fossil fuel subsidies. At COP30, Belgium signed the Belém Declaration on the transition away from fossil fuels, which acknowledges the need to eliminate fossil fuel subsidies as quickly as possible

At the European level, the revision of the Energy Taxation Directive has been under discussion since 2021. The current Directive does not provide for the collection of taxes on energy products in certain specific cases such as maritime transport and aviation. In the context of the 8th EU Environmental Action Program, the reporting of environmentally harmful subsidies has been developed.

At the Belgian level, measures decided under the previous legislative term will enter into force in 2026. This is the case for the gradual reduction on the reimbursement of professional diesel, as well as the end of tax deductibility for gasoline or diesel company cars.

As part of the 2026 Budget, the federal government decided to reduce excise duties on electricity for households, offset by an increase in excise duties on natural gas for households and on petroleum products.

Furthermore, the federal government agreement (2025-2029) states that the government will examine "which fossil fuel subsidies can be reduced, over what realistic timeframe a phasing-out can take place, without generating a negative economic impact and without having a negative impact on purchasing power or business costs." The federal contribution to the update of the PNEC (2024)⁵ reiterates the intention to establish a roadmap for the elimination of these subsidies.

For its part, the federal administration has been tasked with drafting a spending review on fossil fuel subsidies, which will notably draw on the present inventory.

¹ OECD, 2025, *Inventory of support measures for fossil fuels*, OECD Publishing, Paris

² European Environment Agency, 2025, [Fossil fuel subsidies in Europe | Indicators | European Environment Agency \(EEA\)](#)

³ European Commission, 2024, State of the Energy Union Report

⁴ Belgium signed the Joint Statement on Fossil Fuel Subsidies at COP28 (2023). This Dutch initiative has been renamed the Coalition on Phasing Out Fossil Fuel Incentives Including Subsidies (COFFIS).

⁵ Federal Energy and Climate, 2024, <https://climat.be/doc/pfec-2024-mise-a-jour-definitive.pdf>

This fifth report includes a systematic assessment of fossil fuel subsidies up to and including 2024 and therefore aims to update previous inventories. Regularly updating an inventory of federal fossil fuel support measures is particularly important, given the changes in data from one year to the next, on the one hand, and the legislative changes, on the other.

In order to avoid any confusion, the authors wish to recall that the incentives for consumption of petroleum products, such as subsidies, and the excise tax rate differentials measured in this document do not constitute an estimate of potential budget revenues that would result from their elimination. To do so, the behavioral effects generated by the proposed legislative changes would have to be taken into account. Furthermore, rate differentials are highly dependent on the chosen reference rate. Initially, we opted for unleaded petrol (now called benchmark 1).

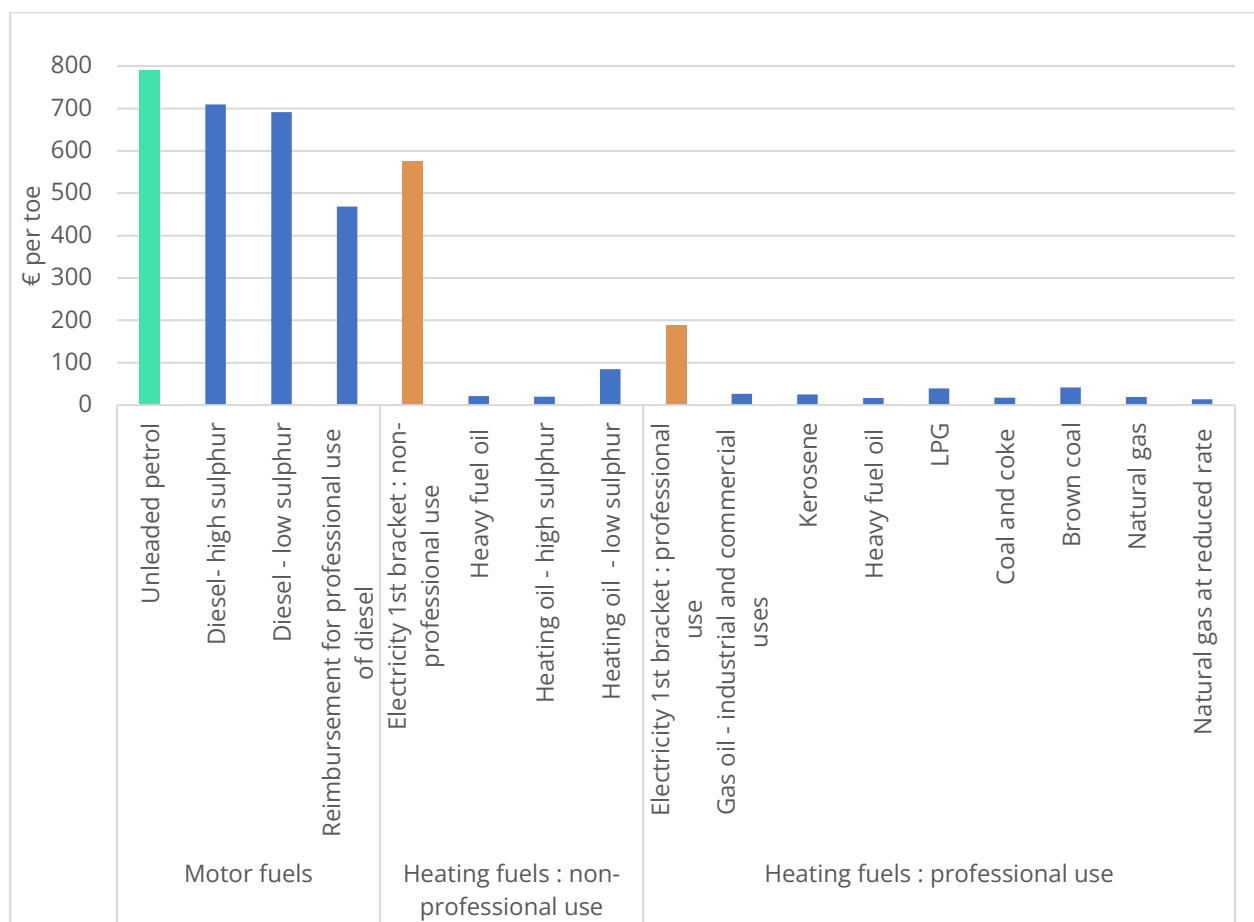
Since 2025, the inventory has also included, for comparison purposes, another reference rate which distinguishes on the basis of use, namely as motor fuel or heating fuel (benchmark 2).

2 The conceptual framework

The choice made in this Inventory is that of an approach combining the OECD bottom-up approach and the WTO approach. Another possible approach was the 'price-gap' approach, developed by the IMF in particular. This approach has not been adopted here as it does not directly identify subsidies and its results are too dependent on the assumptions made about production costs and external costs.

We have systematically screened the different forms of subsidies, both those granted in the form of budgetary expenditures and those granted through taxation. The latter appears to be the main mechanism through which Belgium supports fossil fuels. For these, the benchmark tax system must be defined in advance. A subsidy through taxation (tax expenditure) is indeed defined as a derogation from the benchmark tax system. Regarding income tax and VAT, we use the benchmark tax systems as defined in the federal tax expenditure Inventory.

Figure 1 Excise rates (in € per ton oil equivalent, 2024)



For excise duties, there is no single reference rate in the inventory of tax expenditures. In order to highlight the differences among the rates currently in force, we have opted for a single benchmark, i.e. the excise duty rate on unleaded petrol (now called benchmark 1), and not for “one rate per product”⁶. We consider that there is no reason for taxing one energy carrier less than the other. This choice requires that the rates applied to the different energy carriers be expressed in a common unit. In concrete terms, they are expressed in tons of oil equivalent (toe). This edition also includes, for comparison purposes, another reference rate that distinguishes based on use, namely as motor fuel or heating fuel (benchmark 2). In benchmark 2, unleaded petrol is still the reference rate for motor fuels, but for other uses included under the heading of heating fuels, the excise rate on the first bracket of consumption of electricity was chosen, distinguishing between professional and non-professional use.

A distinction is also made between direct subsidies, which apply to the consumption of fossil fuels, and indirect subsidies, which apply to the production of services that rely heavily on fossil fuels. Following the development of the European classification and the introduction of new reporting on Environmentally Harmful Subsidies, the tax regime for company cars is now included as an environmentally harmful subsidy and no longer as an indirect subsidy for fossil fuels.

The criterion for identifying subsidies is therefore the use of fossil fuels. Some subsidies have specific objectives. This is obvious in the case of social tariffs on energy consumption and similar social interventions. The existence of other objectives do not have to be taken into account at the identification stage, but do so at the reform stage, by looking for a better way to achieve the specific objective while not having a negative effect on the environment.

⁶ The Federal tax expenditure Inventory chooses a product-specific rate on the basis that excise duties are specific taxes.

3

Main results

This report aims to be as exhaustive as possible for direct subsidies. For indirect subsidies, we have not been able to be exhaustive and the choice of cases covered should not be interpreted as an order of priority. It has mostly been driven by data availability and by the complexity of the different cases, especially for transport.

For tax-based subsidies, the federal tax expenditure Inventory provides a starting point. However, it had to be supplemented due to the lack of estimates of revenue losses for some important items, such as fuel cards, excise duty exemptions on intermediate consumption or the excise duty exemption of kerosene. Another important change concerns the inclusion of differences in excise rates between different energy products among the subsidies. **Fout! Verwijzingsbron niet gevonden.** shows the rate differences between products based on benchmark 1 (unleaded petrol) and benchmark 2 (unleaded petrol for motor fuels, electricity for heating fuels).

Table 1 Excise rate differences between products for benchmark 1 and 2, in 2024 (in million €)

	Benchmark 1	Benchmark 2
Motor fuels		
Unleaded petrol	0,0	0,0
Heating oil - high sulphur	0,0	0,0
Heating oil - low sulphur	273,3	273,3
Total motor fuels	273,3	273,3
Heating fuels		
Kerosene (aviation excluded)	0,0	0,0
Heavy fuel oil	7,9	1,8
LPG	6,4	1,3
Natural gas: professional use	2.143,7	470,3
Natural gas: non-professional use	1.945,6	1.353,3
Coal and coke	0,2	0,0
Total heating fuels	4.103,8	1.826,6

Table 2 shows the rate differences between uses of the same product, also with a comparison between benchmark 1 and benchmark 2.

Table 2 Excise rate differences between uses of the same product for benchmark 1 and 2, in 2024 (in million €)

	Benchmark 1	Benchmark 2
Motor fuels		
Reimbursement for professional use of diesel	831,2	831,2
Total motor fuels	831,2	831,2
Heating fuels		
Professional use		
Gas oil - industrial and commercial uses	365,9	77,4
Kerosene used as engine fuel	30,5	21,9
Kerosene - industrial and commercial uses	1,3	0,3
Natural gas at reduced rate	903,0	203,0
Non-professional use		
Heating oil - high sulphur	309,7	223,2
Heating oil - low sulphur	1.526,7	1.101,3
Heating oil - total	1.836,4	1.324,5
LPG used as heating fuel	127,6	92,2
Coal and coke - exemption for households	10,8	7,9
Total heating fuels	3.275,6	1.727,2

Fout! Verwijzingsbron niet gevonden. lists the subsidies identified in this report according to benchmark 1 with the exception of borderline cases. Direct subsidies amount to €10.781,9 million in 2024, or 1.7 points of GDP. They were estimated at 2.4% of GDP in 2021, a drop of 0.7% GDP over four years. This decrease is mainly explained by lower volumes of natural gas consumed in 2024 compared to 2021. While the overall trend between 2021 and 2024 is downward, consumption volumes nevertheless increased between 2023 and 2024. Another factor contributing to the decline is the electrification of the company car fleet, which reduces the subsidy associated with fuel cards.

Subsidies for international air and maritime transport amount to 1,006.5 million euros in 2024, or 0.2% of GDP. For the aviation sector, the amount of the kerosene exemption is estimated at EUR 754.6 million in 2024, showing a continuous increase since 2020 after a decrease due to the impact of the Covid crisis on the aviation sector. The exemption for maritime transport is estimated at 226.9 million euros for heavy fuel oil and 24.9 million euros for diesel in 2024. These amounts are lower than in 2020 en 2021. However, the level of tax rates differences in 2024 remains lower than the 2021 level. An international benchmark is used here. For the aviation sector, this is the minimum rate set in the European energy tax directive applicable to kerosene (€330/1000l). For the maritime sector, in the absence of an applicable reference rate, we have opted for the minimum rate proposed in the proposal to reform this directive published in July 2021 (€0.9/GJ).

Indirect subsidies amount to 0.04 % of GDP with the main component being the VAT exemption on airline tickets, the level of which in 2024 is comparable to that of 2019, following a significant decline due to the impact of the Covid crisis on the air transport sector.

Since 2024, exemptions granted to fossil products for non-energy use (feedstocks) are also included. However, in the absence of a reference rate comparable to that used to measure excise duty rate differences, no amounts are included in this edition. Only quantities are mentioned, and in 2024 they represent the equivalent of 69.9% of the final energy consumption used by the industrial sector in Belgium or 103.1% of the final energy consumption used by households.

The tax regime for company cars is now classified as an environmentally harmful subsidy (EHS). The amount has been continuously increasing over the period under review.

Table 3 Subsidies for fossil fuels – benchmark 1 (in million €)

	2021	2022	2023	2024
Direct subsidies				
Transfers – permanent measures	132,7	516,7	333,3	120,2
Social tariff - Natural gas	95,3	428,2	268,2	96,3
Social tariff - Electricity (*)	23,6	67,4	48,6	11,2
Fuel Oil Fund	13,8	21,1	16,5	12,6
Transfers - temporary measures	64,3	446,3	541,0	30,3
Extended social tariff - natural gas (BIM)	36,8	378,4	462,2	27,7
Extended social tariff - electricity (BIM) (*)	8,4	67,9	78,8	2,6
One-off bonus of €80 (*)	19,2			
Income tax and social security contributions	709,0	1.173,8	911,7	721,0
Fuel cards	688,2	1.119,3	852,8	661,6
Charging cards	20,8	54,5	58,9	59,4
VAT	55,4	977,1	1.049,0	918,4
VAT – reduced gas rate for households	0,0	610,1	694,3	635,2
VAT – reduced electricity rate for households	0,0	277,1	285,6	226,9
VAT- fuel cards	53,9	88,2	67,7	52,8
VAT- EV charging cards	1,5	1,7	1,4	1,4
VAT-Reduced rate on coal	2,7	2,1	2,1	2,1
Excise duties	11.131,2	10.332,0	8.827,0	8.992,1
Rate differential across products				
Diesel	342,0	385,3	350,2	273,3
Kerosene	0,0	0,0	0,0	0,0
Heavy fuel oil	16,9	20,1	10,2	7,9

LPG	9,7	9,2	6,1	6,4
Natural gas	5.124,3	4.854,2	3.722,4	4.089,4
Coal and coke	0,2	0,7	0,2	0,2
<i>Subtotal</i>	<i>5.493,2</i>	<i>5.269,4</i>	<i>4.089,1</i>	<i>4.377,1</i>
<i>Specific rates for the same product</i>				
Reimbursement for professional use of diesel	1.052,0	557,9	772,5	831,2
Gas oil – industrial and commercial uses	375,0	412,5	377,1	365,9
Kerosene – industrial and commercial uses	2,4	1,3	1,3	1,3
Natural gas at reduced rate	1.190,6	1.295,2	1.052,1	903,0
Heating oil	2.096,5	1.856,8	1.798,2	1.836,4
LPG used as heating fuel	140,0	120,3	117,8	127,6
Kerosene – used as heating fuel	41,5	36,9	34,9	30,5
Coal and coke - exemption for households	21,9	16,4	11,0	10,7
<i>Subtotal</i>	<i>4.919,9</i>	<i>4.297,3</i>	<i>4.164,9</i>	<i>4.106,7</i>
<i>Subsidies on intermediate consumption</i>				
Manufacturing, development, testing and maintenance of aircraft and ships	7,5	5,1	5,8	5,2
Rail transport	16,0	15,7	15,9	15,6
Inland navigation	86,1	90,5	82,7	84,3
Dredging activities	45,9	24,0	25,9	24,7
Agricultural and horticultural work, fish farming and forestry	562,6	629,9	442,8	378,5
<i>Subtotal</i>	<i>718,0</i>	<i>765,2</i>	<i>573,0</i>	<i>508,3</i>
Total direct subsidies	12.092,8	13.445,9	11.661,9	10.781,9
In % GDP	2,4%	2,4%	1,9%	1,7%

International air and maritime transport

Aviation kerosene exemption	594,2	687,7	689,5	754,6
Excise duty exemption for heavy fuel oil - international maritime transport	241,9	232,8	212,8	226,9
Excise duty exemption for diesel - international maritime transport	57,6	55,2	46,8	25,0

Total international air and maritime transport	893,7	975,7	949,0	1006,5
In % GDP	0,2%	0,2%	0,2%	0,2%

Indirect subsidies

VAT – exemptions on airplane tickets	87,5	180,4	208,8	224,5
Total indirect subsidies	87,5	180,4	208,8	224,5
In % GDP	0,02%	0,03%	0,03%	0,04%

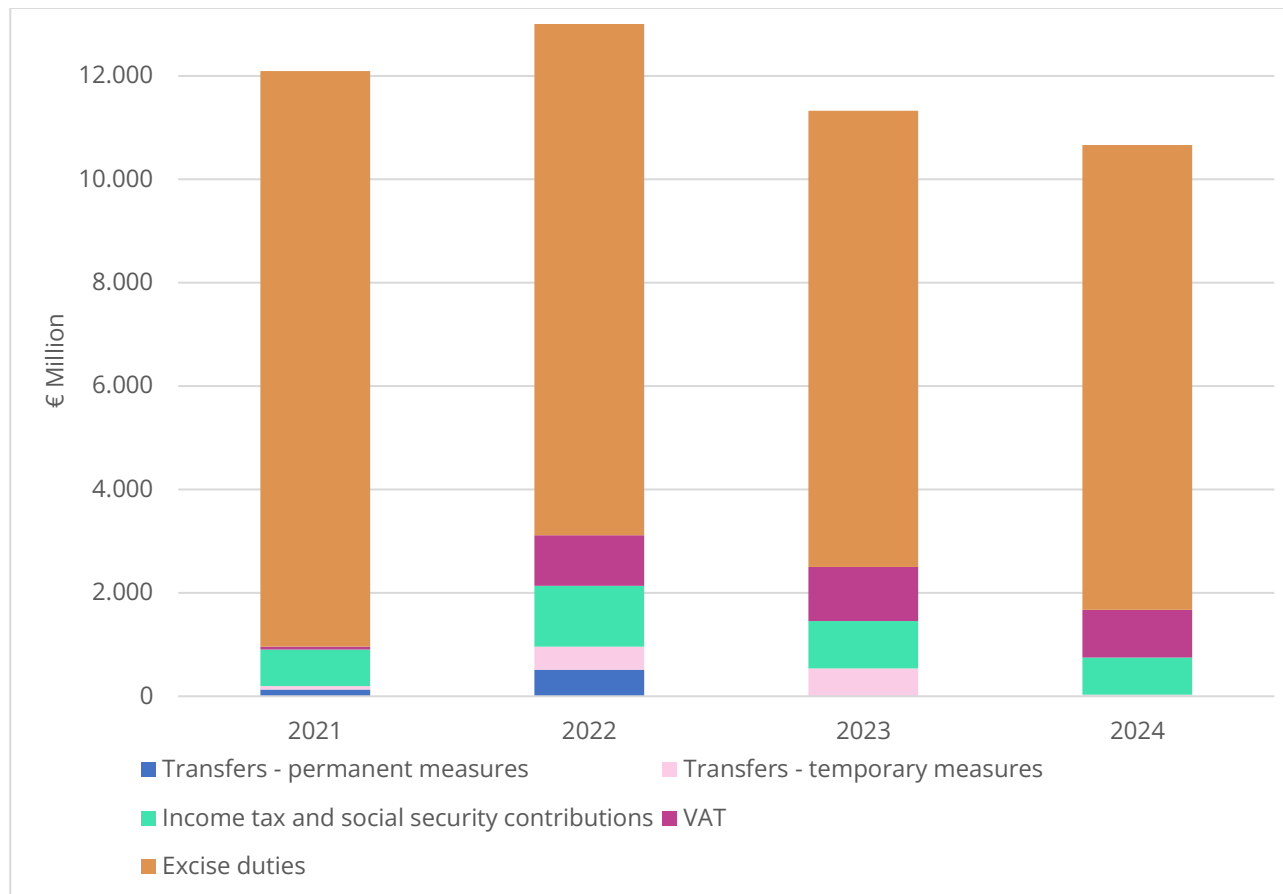
Environmentally harmful subsidies (EHS)

Company cars	1.998,4	2.880,3	3.153,0	3.141,7
Total environmentally harmful subsidies	1.998,4	2.880,3	3.153,0	3.141,7
In % GDP	0,4%	0,5%	0,5%	0,5%

(*) Social tariff- electricity, extended social tariff- electricity (BIM) and one-off bonus of 80 euros: taking into account the electricity mix.

Fout! Verwijzingsbron niet gevonden. and **Fout! Verwijzingsbron niet gevonden.** detail the **direct subsidies** according to the instrument used this categorization is also the subject of.

Figure 2 Direct subsidies to fossil fuels per instrument – benchmark 1 (2021-2024, in million €)

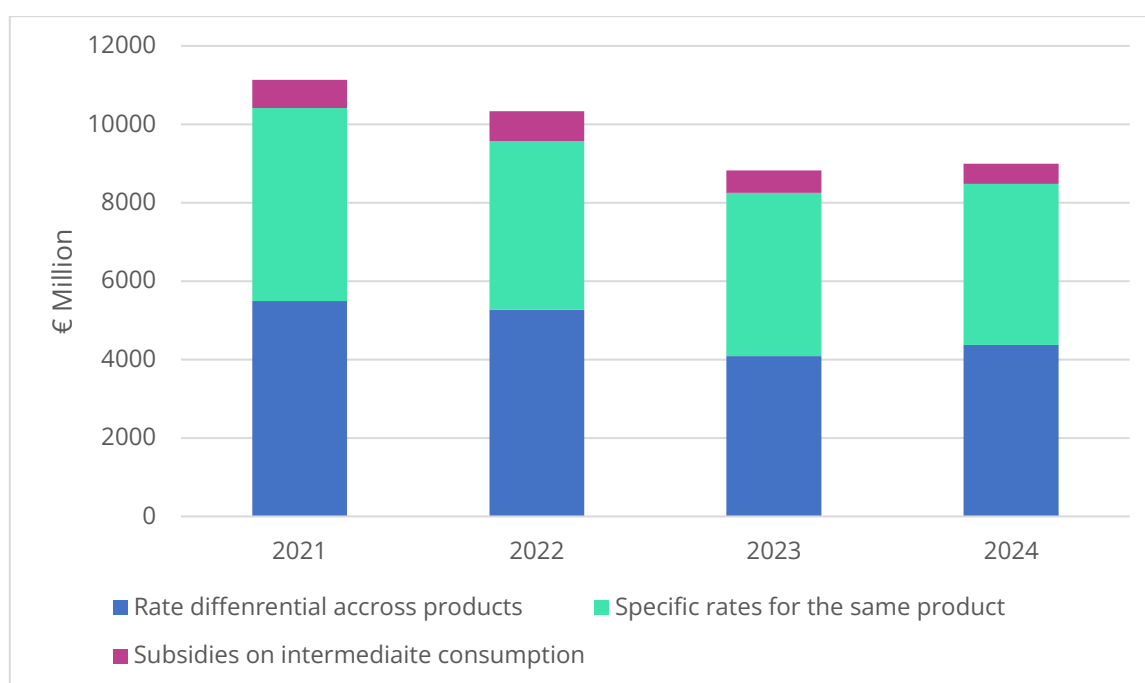


Subsidies in the form of transfers amount to €120.2 million in 2024 and returned to a level comparable to 2021, following a peak in 2022 and 2023 driven by the increase in the cost of the social tariff⁷. These are transfers to individuals and these subsidies have social objectives. Fuel cards are the only direct subsidy identified that is granted through income taxes. The estimated amount is €661.6 million in 2024 and it has been declining since 2022 due to the electrification of the vehicle fleet. With regard to VAT, a reduced rate on gas and electricity consumed by households has been in place since 2022, with the cost respectively estimated at €635.2 million and €226.9 million in 2024.

Excise duties are clearly the major instrument used to grant subsidies to fossil fuels. Exemptions and reduced rates of excise duties are estimated at € 8,992.1 million in 2024 and are decreasing compared to 2021 due to lower volumes consumed.

As for all tax expenditures, the estimated amount depends on the benchmark used. As indicated above, we considered that there were no arguments justifying differences in tax rates between energy products. We therefore used the tax rate on unleaded petrol as the benchmark and compared the rates by expressing them in energy units.

Figure 3 Fossil fuel subsidies – excise duties, per type of subsidy – benchmark 1 (2021-2024, in million €)



Fout! Verwijzingsbron niet gevonden. breaks down the ‘*excise*’ *subsidies* into several sub-categories. The first category highlights rate differentials across products. The corresponding amount is € 4,377.1 million in 2024⁸, an increase compared to 2023. Between 2015 and 2019, this category of subsidies decreased as a result of an increase of excise duties applied to diesel that converged towards those applied to unleaded petrol, which constitutes the reference point here. However, the largest share of subsidies resulting from the rate differential across products comes from the low taxation of natural gas. Since 2020, the amount of the subsidy has been mainly influenced by the quantities consumed, whether for natural gas or diesel. These quantities declined in 2020 as a result of the Covid crisis, as well as in 2022 and 2023 due to the consequences of the war in Ukraine. The amount for the year 2024 is increasing following a slight rise in excise duty rates for households and, above all, an increase in the volumes consumed by both households and professionals.

Special rates for the same product are covered in the second category. These subsidies are listed in the Federal Tax Expenditure Inventory, even though the amount of the subsidy is not the same as in this report due to different reference points⁹. The amount

⁷ Taking into account, for subsidies related to electricity, the proportion of fossil fuels in the energy mix.

⁸ The amount of the subsidy is calculated on the basis of the volumes subject to the reference rate of excise duty for a given product. Where there is a special scheme, the volumes concerned are included under the second category. There is therefore no double counting.

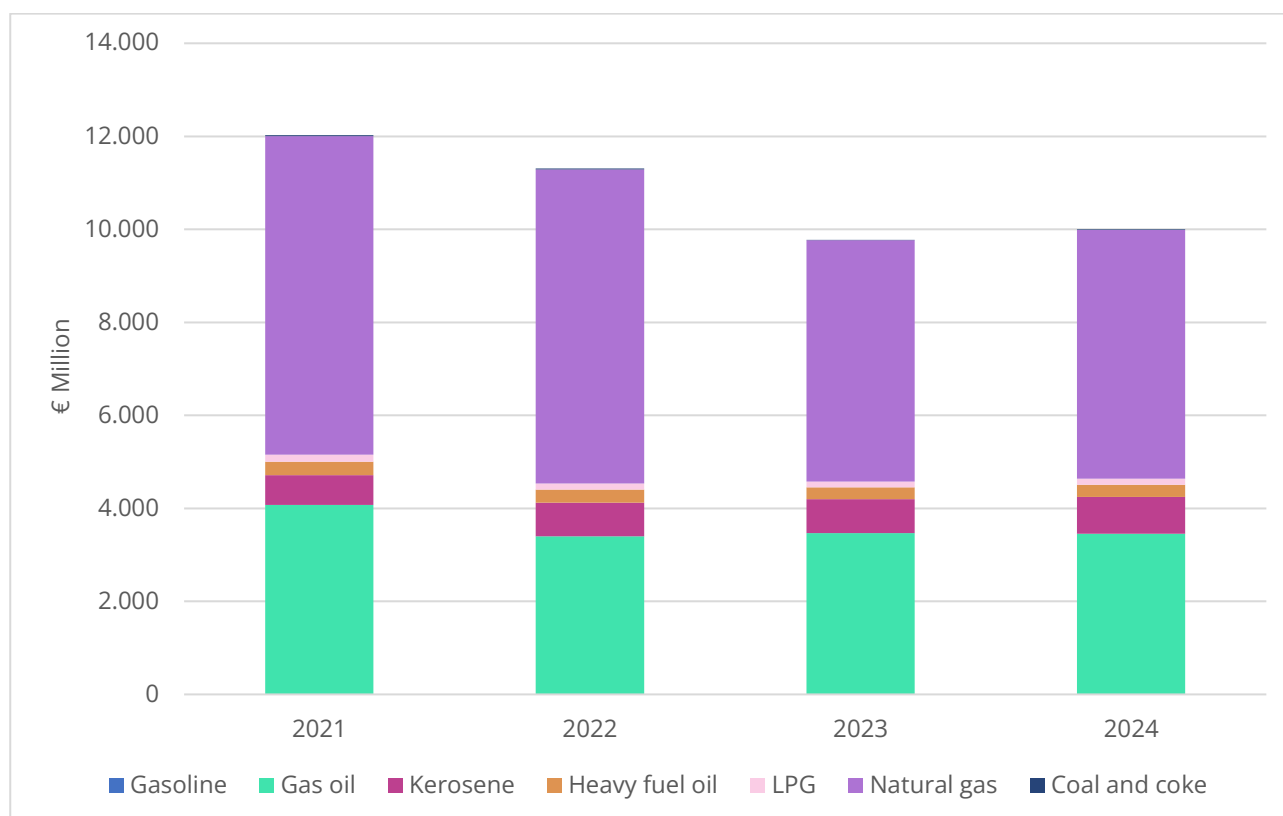
⁹ The Federal Tax Expenditure Inventory quantifies these subsidies using the standard rate for each product as a reference. In this report, the subsidies are quantified here in relation to the single reference rate expressed in toe.

of this category of subsidies is estimated at €4,106.7 million in 2024 and has been on a continuous downward trend since 2021. The three main items are the exemption from excise duty on heating oil, the reduced rate for natural gas for industrial use and the reimbursements for professional use of diesel.

A third category includes tax rates differences on intermediate consumption. Our estimates rely on various sources including the input-output tables and the data collected for the Greenhouse Gas Inventory. The amount of these subsidies is estimated at € 508.3 million in 2024. Agriculture (and other activities) is the main item, followed by inland navigation.

‘Excise’ tax rates differences can also be categorised by product, as indicated in **Fout! Verwijzingsbron niet gevonden..**

Figure 4 Fossil fuel subsidies – excise duties by product - benchmark 1 (2021-2024, in million €)

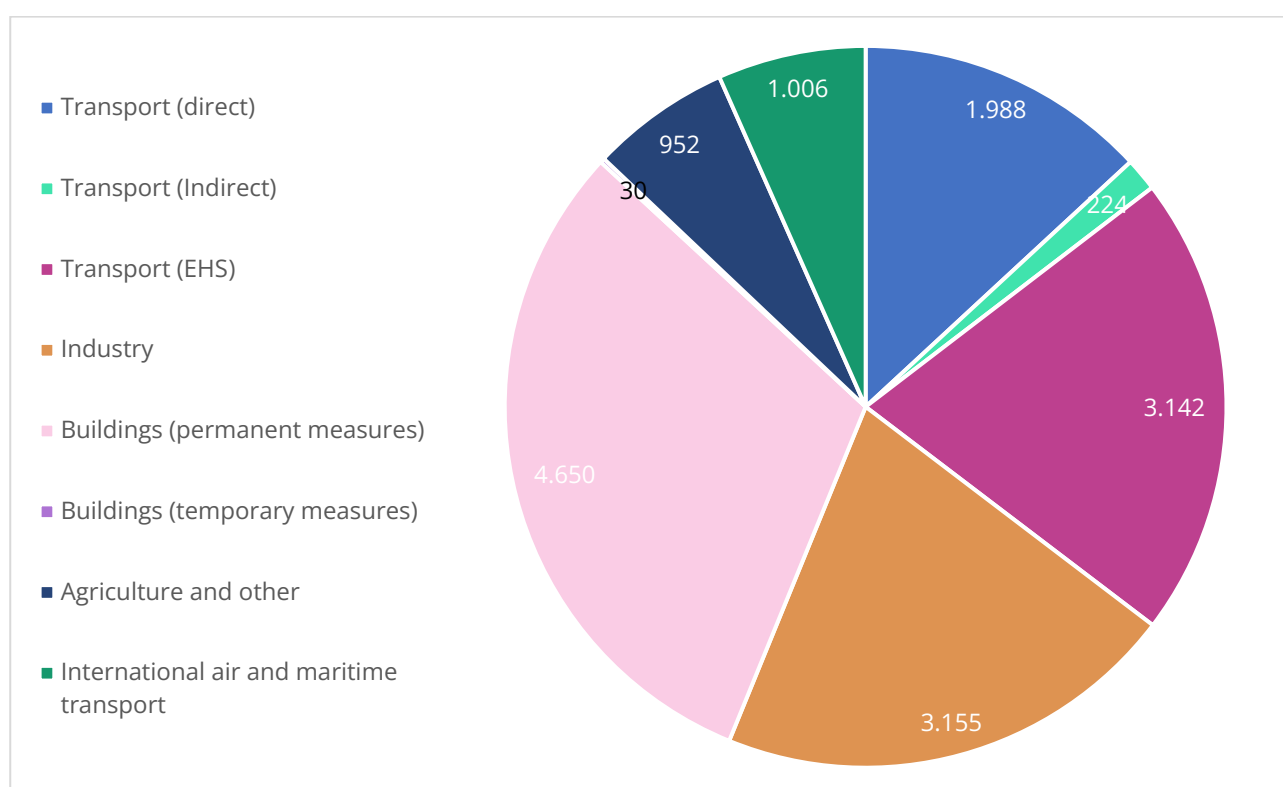


Most of the subsidies are for diesel and natural gas. In the case of diesel, subsidies are partly the result of the remaining tax differential (in energy units) with unleaded petrol. However, most of the subsidies for diesel stem from the special schemes for heating oil, professional use of diesel and the agriculture and forestry sector. For natural gas, the tax rate difference comes from the general under-taxation, compared to the reference point for unleaded petrol, and from the reduced rate applied to this energy carrier within the framework of sectoral energy agreements.

Total subsidies can be broken down into the main sectors of transport, industry, buildings, and agriculture and other activities. Figure 5 shows the result of this breakdown for 2024 according to benchmark 1. It includes both direct and indirect subsidies, as well as company cars, which are included as environmentally harmful subsidies (EHS).

The transport sector received €2,588.2 million in direct subsidies in 2024, representing 22.7 % of total direct subsidies. Subsidies for international air and maritime transport amount to €1,006.5 million. Indirect subsidies to this sector amounted to €224.5 million and environmentally harmful subsidies (EHS) amount to €3,414.7 million. The other sectors received direct subsidies only: industry €3,154.9 million (29.3% of total direct subsidies), buildings €4,649.6 million (43.2%) and agricultural and other activities €951.6 million (8.8%). These amounts and ratios must be seen in relation to the relative importance of the different sectors or activities concerned. It should be noted for instance that in 2024, agriculture represented only 0.9 % of the value added produced by the economy as a whole.

Figure 5 Breakdown of subsidies by sector (except feedstocks) – benchmark 1 (in million €, 2024)



Fout! Verwijzingsbron niet gevonden. gives details about the *main items* for each of these sectors for the year 2024 according to benchmark 1.

Table 4 Details of main subsidies in 2024 by sector – benchmark 1

	Miljoen €	% sub totaal
Transport		
Fuel cards (PIT and SSC)	661,6	33,3%
Charging cards (PIT and SSC)	59,4	3,0%
Fuel cards (VAT)	52,8	2,7%
Charging cards (VAT)	1,4	0,1%
Base rate differential across products (excise)	281,4	14,2%
Reimbursement of professional diesel (excise)	831,2	41,8%
Exemption for inland navigation (excise)	84,3	4,2%
Exemption for transport by rail (excise)	15,6	0,6%
<i>Subtotal - direct subsidies</i>	<i>1.987,6</i>	<i>100,0%</i>
Exemption for aviation kerosene (excise)	754,6	75,0%
Exemption for maritime navigation (excise)	251,9	25,0%
<i>Subtotal - subsidies to international air and maritime transport</i>	<i>1.006,5</i>	<i>100,0%</i>
Exemption for airplane tickets (VAT)	224,5	100,0%
<i>Subtotal - indirect subsidies</i>	<i>224,5</i>	<i>100,0%</i>
Company cars (PIT, VAT, SSC)	3.141,7	100,0%
<i>Subtotal Environmentally harmful subsidies</i>	<i>3.141,7</i>	<i>100,0%</i>
Total Transport	6.360,2	
Industry		
Base rate differential across products (excise)	1.854,7	58,79%
Reduced diesel rate (excise)	365,9	11,60%
Reduced natural gas rate (excise)	903,0	28,62%
Exemption for dredging activities (excise)	24,7	0,8%
Other (excise)	6,5	0,20%
Total Industry	3.154,9	100,00%

Buildings		
Transfers to individuals (social tariffs etc.) (*)	120,2	2,6%
Reduced rate on heating gas for households (VAT)	635,2	13,7%
Reduced rate on electricity for households (VAT)	226,9	4,9%
Base rate differential across products (excise)	1.963,0	42,2%
Heating oil exemption (excise)	1.533,4	33,0%
Exemption for LPG (excise)	127,6	2,7%
Other (excise)	43,4	0,9%
Total Buildings – permanent measures	4.649,6	100,0%
Extended social tariff - natural gas (II)	27,7	91,5%
Extended social tariff - electricity (II) (*)	2,6	8,5%
Total Buildings – temporary measures	30,3	100,0%
Agriculture and other activities		
Base rate differential across products (excise)	270,1	28,4%
Exemption for agricultural, horticultural and forestry tractors (excise)	303,1	31,8%
Exemptions on intermediate consumption (excise)	378,5	39,8%
Total Agriculture and other activities	951,6	100,0%
Total direct subsidies	10.774,0	

(*) Social tariff- electricity, extended social tariff- electricity (BIM) and one-off bonus of 80 euros: taking into account the electricity mix.

(**) 0.1% of direct subsidies could not be allocated to a specific sector, so there is a difference between the total of the table by sector and the total of direct subsidies.

In the transport sector, the two largest items of direct subsidies are the reimbursement for professional use of diesel and fuel cards, with respectively 41.8% and 39.1% of the total direct subsidies received by this sector. This is followed by the exemption from excise duties of kerosene for aviation. Sectoral exemptions form only a small part of total subsidies but can be relatively large in relation to the activity of these sectors. The impact of rate differentials between products is relatively limited here given the small tax differential between petrol and diesel, which are the two main fuels concerned.

In the industry, more than half (58.8 %) of the direct subsidies come from rate differentials between products and more particularly from the low taxation of natural gas. The reduced rate applied to natural gas for certain companies is the second most important item. It should be noted that subsidies for non-energy use (feedstocks), which are not included in the table above, represent a significantly higher amount than all other subsidies granted to industry.

In the buildings sector, the two main items are subsidies from product differentials and the heating oil exemption. The former mainly concerns natural gas, which has also benefited from a reduced VAT rate since 2022.

Finally, two items should be mentioned for agricultural and other activities. The under-taxation of natural gas (rate differential across products) represents 28.4 % of the total and the exemptions on intermediate consumption 71.6%.

Final thoughts

The identification criterion for the inventory of subsidies in this report is whether the scheme directly or indirectly subsidises the use of fossil fuels.

Some of the observations made in the previous editions of the federal Inventory of fossil fuel subsidies remain relevant. One of these is the problem of transparency. Most of the subsidies are granted through the tax system. However, tax rates differences are not directly identifiable, unlike budgetary expenditures, because tax revenues are expressed net of revenue losses from tax expenditures. In addition, a substantial part of the subsidies granted through the tax system is not quantified in the federal Inventory of tax expenditures.

Direct subsidies for fossil fuels are lower than in previous years, both in absolute terms and as a percentage of GDP. This is primarily linked to the decline in the volume of fossil fuels consumed (e.g., natural gas) and the electrification of the vehicle fleet (e.g., fuel cards). Indirect subsidies, subsidies for international aviation and shipping, and environmentally harmful subsidies have increased in recent years.

Subsidies for fossil fuels remain significant across all sectors, and additional measures are needed to address recommendations—such as those from the European Commission—to phase out fossil fuel subsidies.

In the National Energy and Climate Plan^a, the federal government confirms that it will, as far as possible, gradually reduce support for fossil fuels.

When discussing the phasing out of these subsidies, the specific objectives of some subsidies, in particular social objectives, will have to be taken into account. Their reform must reconcile the removal of environmentally harmful effects with the achievement of the specific objectives identified by other, non-environmentally harmful means. Just transition aspects are indeed inseparable from the discussions on reform proposals.

^a <https://www.nationalenergyclimateplan.be/en>



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